should stop accepting deposits from the next financial year. PPF deposits should be allowed to be transferred to NPS accounts. This would leave only certain special deposits like those for senior citizens, the girl child, etc. These deposit accounts should be transferred to SBI with the interest rate difference being provided by the government as fiscal subsidy.

Sovereign Bonds or Special Securities?

Government Has Shied Away from Issuing Foreign Currency Sovereign Bonds

The Government of India raises debt by issuing government securities (g-secs). These sovereign bonds are issued in the Indian domestic market and are denominated in Indian rupees. If g-secs are issued in foreign markets and denominated in specified foreign currency, they would acquire the character of foreign currency-denominated sovereign bonds. Countries with complete capital account convertibility issue foreign currency-denominated debt securities or sovereign bonds even in the domestic market. India does not have capital account convertibility to this extent and the government has not issued any foreign currency-denominated sovereign bonds in external markets since Independence.

As per the data available on the site of the Bank of International Settlements (BIS), a total of $24.86 trillion (India’s GDP is less than $3 trillion dollars currently) international debt securities were outstanding at the end of March 2020. International debt securities issued by governments exceeded $2 trillion. India is the only G-20 country that has not issued a government bond in foreign markets.

In Budget 2019–20, the government announced its intention to issue sovereign bonds. Para 103 of the Budget speech expressed the same in clear terms: